

Origin of the Popularity of Preferred Stocks. At the beginning of this discussion, we referred to the prominent role that preferred stocks have played in financing American corporations. But if our subsequent analysis is correct in concluding that this form of straight investment is fundamentally unsound, it may be asked why this unsoundness was not long ago convincingly demonstrated by the actual experience of investors. The answer is that the great popularity of preferred stocks developed during a 15-year period which rather accidentally favored the typical preferred stockholder against the typical bondholder. At the beginning of this period, just before the World War, the majority of preferred stocks were industrial issues and most of these were admittedly speculative in character, selling at substantial discounts from par. The tremendous prosperity and growth of our larger enterprises during the war, and during the years subsequent to 1922, effected a great improvement in the status and hence in the market price of many of the leading industrial preferred stocks. Within the same time, railroad and traction obligations, which constituted the main portion of the *bond list*, were subjected to influences of a generally adverse character. Investors, observing that the typical preferred stock was behaving better than the typical bond, drew the natural but erroneous inference that preferred stocks in general were intrinsically as sound as bonds.

Poor Record Shown by Extensive Study of Preferred Issues. More detailed investigation will show that the popularity of preferred stocks rested upon the excellent performance of a comparatively *small number* of old-established, and prominent industrial issues. During the latter part of the period under review, the much more numerous new flotations of industrial preferred stocks, sold on the strength of this very popularity, did not fare so well. A study was made under the direction of the Harvard School of Business Administration, covering all the new preferred-stock offerings from January 1, 1915 to January 1, 1920 which ranked between \$100,000 and \$25,000,000 in size (607 issues in all). This showed that the average price of 537 issues for which quotations were obtainable on January 1, 1923, had declined to a figure 28.8% below the original offering price (from 99 to 70 $\frac{1}{2}$), so that their purchasers had suffered a shrinkage in principal greater than the total income received. The con-